

Mr. Paul had Rs 1 lac. He did not pay taxes and had invested in gold where the return was 3-4 % p.a. At the end of 10 years, his amount had increased to Rs. 1.34 lacs.

Mr. D'souza had Rs. 1 lac. He had paid 30% taxes and therefore had Rs. 70,000 left. He had invested this amount in mutual funds with an average return of 12% p.a. At the end of 10 years, he had Rs. 2.17 lacs.



Why this difference? Mr. D'souza had multiple asset options left where he could invest, which was not the case with Mr. Paul. He only had 3 asset classes where he could invest. In the short term Mr. Paul was happier as he saw that he saved Rs. 30,000 in taxes. However, as we saw, it is a train without an engine and therefore got him nowhere whereas Mr. D'souza had higher amount despite paying taxes as he kept his options open. Legitimate money can grow at a really fast pace and in a scalable manner. Black money has financial limitations, ethical and legal implications and all of that with a risk of Financial Plan being ruined completely and even potentially attracting heavy fines and penalties. Our stand about Black Money is pretty clear, it is for each individual to decide where they want to stand.